

**SUBSTITUTE FOR
HOUSE BILL NO. 5716**

A bill to amend 1972 PA 230, entitled
"Stille-DeRossett-Hale single state construction code act,"
by amending section 19 (MCL 125.1519), as amended by 2002 PA 721.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 19. (1) The department shall promulgate rules
2 establishing a procedure by which a premanufactured unit intended
3 for use in this state may be issued a certificate of acceptability
4 by the department at its place of manufacture.

5 (2) The procedure ~~shall~~**must** require that the manufacturer
6 submit **an application** to the department **with** detailed plans and
7 specifications for the premanufactured unit for approval as in
8 compliance with the code. **The manufacturer, in accordance with**
9 **subsection (5), may submit detailed plans and specifications that**



1 were reviewed by an independent entity approved by the commission
2 under rules promulgated by the department. The department may
3 require that the manufacturer submit test results on the
4 premanufactured unit or its components, any material or information
5 the department considers relevant, or 1 or more of the
6 premanufactured units for testing and evaluation by the department.

7 (3) Except as otherwise provided in this subsection, the
8 department shall approve or deny a manufacturer's application for a
9 certificate of acceptability under subsection (2) not later than 30
10 days after receipt of the application. If the department considers
11 the application to be incomplete, the department shall notify the
12 manufacturer in writing, or make information electronically
13 available, describing the deficiency and requesting the additional
14 information. The 30-day period to approve or deny the application
15 is tolled from the date the department notifies the manufacturer of
16 a deficiency until the date the requested information is received
17 by the department. If the department fails to approve or deny the
18 application within the 30-day period, the application is considered
19 to be approved, and the department shall issue a certificate of
20 acceptability to the manufacturer.

21 (4) ~~(3) Each~~ The department, or a qualified person approved by
22 the department, shall inspect each premanufactured unit ~~shall be~~
23 ~~inspected by the department, or a qualified person approved by the~~
24 ~~department, to determine that if~~ the premanufactured unit ~~has been~~
25 **was** manufactured in accordance with plans and specifications
26 submitted under subsection (2). The department may issue a
27 certificate of acceptability for a premanufactured unit that bears
28 the approved label of an independent, nationally recognized body
29 having follow-up inspection service satisfactory to the commission,



1 certifying that the premanufactured unit complies with plans and
 2 specifications submitted under subsection (2).

3 ~~(5) (4) Plans and specifications for 1- and 2-family dwelling~~
 4 ~~premanufactured units may be reviewed by the department or by an~~
 5 ~~independent entity approved by the commission under rules~~
 6 ~~promulgated by the department. The~~ **Subject to subsection (3), the**
 7 department shall establish submission procedures for plans and
 8 specifications **that were** reviewed by an independent entity approved
 9 by the commission **under subsection (2).**

10 ~~(6) (5)~~ A local enforcing agency may also inspect a
 11 premanufactured unit at its place of manufacture to determine ~~that~~
 12 ~~it has been~~ **if the premanufactured unit was** manufactured in
 13 accordance with plans and specifications submitted under subsection
 14 (2). ~~and~~ **The local enforcing agency** shall advise the state
 15 inspector and the commission in writing of any deviations found.

16 ~~(7) (6)~~ An approved independent entity shall not conduct in-
 17 plant inspections of units for which it performed plan reviews.
 18 However, the manufacturer may request a variance from the
 19 commission if the literal application of the requirements of this
 20 section would result in an exceptional, practical difficulty
 21 relating to inspection of specific units. ~~For purposes of~~ **As used**
 22 **in** this subsection, "exceptional, practical difficulty" includes,
 23 but is not limited to, a geographic distance between the
 24 manufacturing facility where the **premanufactured** units are
 25 manufactured and the primary business location of the independent
 26 entity that conducts in-plant inspections on behalf of the
 27 manufacturer of more than 250 miles and is located in another
 28 state.

29 ~~(8) (7)~~ If an application for a building permit specifying use



1 of a premanufactured unit with a certificate of acceptability is
 2 submitted to an enforcing agency, and if the application, except
 3 for the part calling for use of a premanufactured unit with a
 4 certificate of acceptability, complies with applicable construction
 5 regulations, zoning laws, and local ordinances, the enforcing
 6 agency shall issue the building permit within the time specified in
 7 this act.

8 **(9)** ~~(8)~~—At the time of installation, a premanufactured unit
 9 with a certificate of acceptability is subject only to the
 10 nondestructive tests approved by the department necessary to
 11 determine that it has not been damaged in transit or installation,
 12 and that it has been installed in accordance with the building
 13 permit and construction regulations.

14 **(10)** ~~(9)~~—The fees established for a building permit when the
 15 application specifies use of a premanufactured unit with a
 16 certificate of acceptability, or for inspection of the installation
 17 of the premanufactured unit, ~~shall~~**must** bear a reasonable relation
 18 to the costs incurred by the enforcing agency in issuing a permit
 19 or performing an inspection.

20 **(11)** ~~(10)~~—Notwithstanding any other provision of this section,
 21 an enforcing agency may object to use of a premanufactured unit
 22 with a certificate of acceptability ~~on the basis that~~**because** the
 23 premanufactured unit does not comply with the code. If an enforcing
 24 agency on receipt of an application for a building permit
 25 specifying the use of a premanufactured unit ~~does object,~~**objects**
 26 **to use of the premanufactured unit,** it may set forth its objections
 27 in writing to the department before issuance of a building permit
 28 and ~~within~~**not later than** 10 business days after receipt of the
 29 application. ~~Within~~**Not later than** 10 business days after receipt



1 of the objections, the commission, or a panel of 3 or more members
2 designated for that purpose by its ~~chairman,~~**chairperson**, shall
3 hold a hearing on the objections in accordance with rules
4 promulgated by the department. After the hearing, the commission,
5 or its panel, ~~within~~**not later than** 3 business days **after the**
6 **hearing** shall determine 1 of the following:

7 (a) The premanufactured unit does not comply with the code and
8 order that the certificate of acceptability be voided.

9 (b) The premanufactured unit requires additional testing and
10 evaluation in which case the testing and evaluation ~~shall~~**must** be
11 conducted in accordance with this section.

12 (c) The objections are not valid and order the enforcing
13 agency to issue the building permit ~~within~~**not later than** 3
14 business days **after the order**.

15 **(12)** ~~(11)~~A certificate of acceptability issued by the
16 department ~~shall~~**must** not be used for advertising purposes.